

THE NUMBERS

One U.S. dollar 5.1567 BRL per USD 01 Sep 2026	Brazil's main interest rate 14.00% p.a. 01 Sep 2026
Brazil's rate advantage 10.375 pp 01 Sep 2026	U.S. two-year government yield 4.34% 31 Aug 2026

WHAT CHANGED

- Economists' 2026 Brazil-rate forecast fell 0.25 percentage point over one month, while their inflation forecast edged lower.
- The real weakened 0.16% against the dollar over the latest five observations.
- Brazil's interest-rate advantage over the U.S. narrowed 0.25 percentage point over one month.

THREE WAYS THE MEETINGS COULD GO

Outcome	Brazil decision	U.S. decision	Rate advantage	Likely effect on the real
Brazil stays tougher	Hold at 14.00%	Hold at 3.50%-3.75%	Stays near 10.38 pp	Real likely strengthens
Most expected path	Cut 0.25% to 13.75%	Raise 0.25% to 3.75%-4.00%	Falls to about 9.88 pp	Real likely weakens slightly
Brazil cuts faster	Cut 0.50% to 13.50%	Raise 0.25% to 3.75%-4.00%	Falls to about 9.63 pp	Real likely weakens more

WHAT CAN OVERTURN THE VIEW

- A small Brazilian cut and a small U.S. increase are already expected; the surprise and the guidance matter more than the headline decision.
- Brazilian fiscal news, U.S. inflation and jobs data, export prices and global risk appetite can overpower the rate story.
- The price trigger is therefore essential: do not take the risk unless USD/BRL first confirms the view.

ONE CONDITIONAL IDEA

BUY USD / SELL BRL AFTER CONFIRMATION

NO LIVE POSITION - WAITING FOR CONFIRMATION

Thesis: If Brazil cuts rates while the U.S. raises them, holding reais becomes slightly less attractive. Because much of that path is already expected, I would act only after price confirms it; fiscal news, export prices and global risk can still dominate.

Entry trigger: Wait for USD/BRL to close above 5.22, the top of its recent range. Until then, there is no trade.

PTAX reference: 5.1567 BRL per USD on 01 Sep 2026.

Invalidation: Abandon the idea after two closes below 5.16, or if Brazil's interest-rate advantage does not shrink.

Review zone: Reassess around 5.35-5.36, one recent-range width above entry. Technical basis: 5.2233 + 0.1328 = 5.3561.

Horizon / case: Approximately two to four weeks, spanning the 15-16 September decisions and initial post-meeting repricing. Supporting scenario: Base case.

Principal risks:

- Copom holds or gives materially hawkish guidance.
- The FOMC holds or guides dovishly, pulling US 2-year yields and USD lower.
- Risk-on sentiment, stronger commodities or favorable Brazilian fiscal news supports BRL.

DECISION RULE

Enter only after the official USD/BRL reference closes above 5.22 while the U.S. two-year yield stays near or above 4.34%. This tests whether price agrees with the rate story.

Leave after two closes below 5.16, or if Brazil's rate advantage does not narrow. Fiscal news, export prices and global risk can still overpower the setup.

TECHNICAL DETAIL AND SOURCES

BCB Focus | BCB PTAX | BCB SGS | Federal Reserve | FRED | CME | B3

PTAX is an official reference, not an executable price. Forecasts are survey data. Global risk appetite, export prices and Brazilian fiscal news may matter more than rates.

Exchange-pricing audit: CME FedWatch (2026-09-01T02:07:02-05:00): 68.2% 25 bp hike / 31.8% hold. B3 DI1 (2026-09-01): about 21.8 bp of easing across Copom.